

NovaCloud Services Agreement

1. Parties & services

This fictional Services Agreement is made effective February 1, 2026 by NovaCloud Technologies Inc. (Provider) and Harborline Design Co. (Customer). Provider supplies hosted compute workspaces, collaboration tools, standard monitoring and up to 100 user seats. Customer may use the service only for its internal operations and must not resell access. Customer owns submitted business records. Provider may engage subprocessors while remaining responsible for delivery of the contracted services. This four-page agreement is the complete fictional source of the commercial terms used in the demonstration. No statement in this contract describes a real customer relationship, vendor commitment or actual legal obligation.

2. Subscription commitment

The initial term begins February 1, 2026 and ends January 31, 2027. Provider will make the workspace available within three business days after the effective date. Customer's minimum commitment is one full annual term even though monthly invoicing is offered. Additional seats require an agreed order and are excluded from the base price. Customer must maintain appropriate account security and promptly report unauthorized access. Provider may update nonmaterial features without consent, but removal of a core contracted function requires thirty days' written notice. Commercial changes, renewal dates and termination rights are controlled by Sections 3, 5 and 6 of this agreement.

NovaCloud Services Agreement

3. Charges & payment deadline

Customer will pay USD 36,000 per year in monthly invoices of USD 3,000 issued in advance. Payment is due within fifteen calendar days after the invoice date (Net 15), regardless of when Customer internally approves the invoice. Applicable taxes are additional. Customer must raise an invoice dispute within seven days and must pay the full invoiced amount while that dispute is resolved; valid adjustments will be credited later. Undisputed overdue amounts accrue simple interest at 1.5% per month, subject to applicable limits. Provider may require an annual prepayment after two late payments in any rolling six-month period. No prepaid subscription fees are refundable except for termination caused by Provider's uncured material breach.

4. Service suspension

Provider may suspend Customer's entire workspace once any invoiced amount is five calendar days overdue, after two business days' written warning. A pending invoice dispute does not itself prevent suspension because Section 3 requires payment during disputes. Subscription fees continue during payment-related suspension, and restoring service may take up to two business days after cleared payment. Provider will retain data for thirty days during suspension. Provider may also suspend access immediately to contain a credible security threat, with notice as soon as practical. Customer is responsible for keeping contact and billing details current. This clause does not shorten the initial annual subscription commitment or waive remaining fees.

NovaCloud Services Agreement

5. Termination & early cancellation

Either party may prevent renewal by giving at least thirty calendar days' written notice before the current annual term ends. This thirty-day period is a nonrenewal deadline, not a right to cancel an annual commitment without charge. Customer may cancel for convenience during a term on thirty days' written notice, but must immediately pay all remaining monthly fees for the balance of that term as an early cancellation charge. Either party may terminate for material breach that is not cured within fifteen days after written notice. If Provider's uncured material breach causes termination, unused prepaid fees are refunded and no early cancellation charge applies. Provider may terminate immediately for repeated unlawful service use.

6. Automatic renewal

This agreement automatically renews for additional twelve-month terms unless valid nonrenewal notice under Section 5 is received at least thirty days before the current term ends. Missing the notice deadline commits Customer to the entire next annual term. Provider may increase the renewal price by up to 12% with forty-five days' advance notice. Customer must still deliver timely nonrenewal notice if it rejects that increase; silence is acceptance of the renewal price. Monthly billing does not convert the subscription to a monthly contract. Changes to Customer's procurement process or budget do not excuse renewal fees. The first annual renewal would begin February 1, 2027.

NovaCloud Services Agreement

7. Liability allocation & indemnity

Provider's aggregate liability is capped at fees paid during the three months before the event giving rise to a claim, equivalent to USD 9,000 at the initial monthly rate. Customer's aggregate liability is capped at twenty-four months of subscription fees, equivalent to USD 72,000 at the initial rate. Customer's obligations for confidentiality breaches, data misuse and third-party claims arising from Customer content are expressly uncapped. Each party excludes indirect or consequential damages, except for Customer's indemnity obligations, fraud or willful misconduct. Provider's intellectual-property defense obligation remains within Provider's three-month cap. These are asymmetric liability caps: the Customer cap must not be described as protection supplied by Provider.

8. Availability & offboarding

Provider targets 99.5% monthly availability, excluding scheduled maintenance up to eight hours per month, upstream carrier failures, Customer-caused incidents and force majeure. If measured availability is below 99.5%, Customer may claim a credit equal to 5% of the affected month's subscription fee. Credits are capped at that 5% amount and must be requested within seven days of month-end. Service credits are the exclusive remedy for availability failures; repeated SLA misses do not create an additional termination right unless they independently amount to material breach under Section 5. Critical support requests receive an initial response within one business day. Customer has fourteen days after termination to export data before routine deletion begins.